

BSES Rajdhani Power Ltd. v. Delhi Electricity Regulatory Commission

Supreme Court of India · Two-Judge Bench · 18 October 2022 · Civil Appeal No. 4324 of 2015 (with C.A. No. 4323 of 2015) · Appeals allowed in part (DERC/APTEL findings on Issues 1-6 set aside to the stated extent)

HEADNOTE

A tariff order made under Section 64 of the Electricity Act, 2003 is quasi-judicial and binding until amended or revoked under Section 64(6); at the 'truing up' stage the Regulator cannot 'change the rules of the game after it has begun' by altering the methodology/principles of the initial determination, which would be an impermissible retrospective revision of tariff. Separately, on enforcement (theft/unauthorised-use) sales: where the Supply Code Regulations and Section 126 create a legal fiction that assessed energy is 'deemed' consumed/sold, that fiction must be carried to its logical end — the assessed units must be treated as 'sales', notwithstanding a Lok Adalat settlement reducing only the rupee amount.

HOLDING-UNITS

INTERPLAY · EA2003::64

Truing up cannot change the methodology of the original tariff determination

QUESTION

May a State Commission, at the 'truing up' stage, change the methodology or principles used in the initial tariff determination, or otherwise retrospectively amend a tariff order?

HOLDING

No. A tariff order under s.64 is quasi-judicial and binding until amended/revoked under s.64(6); truing up is only the adjustment of actuals against projections and cannot be used to re-think de novo the basic principles or retrospectively change the methodology of the initial determination. The DERC's changes on Issues 1, 2, 3 and 5 (LPSC/collection efficiency, depreciation, FR/SR salary, fringe benefit tax) were impermissible and are set aside; interest on Consumer Security Deposit (Issue 4) is a legitimate expense the appellants may recover. ¶ 45-55, 57-72

HOLDING-UNIT · EA2003::126

Legal fiction of 'deemed' consumption under the Supply Code / s.126 must be given full effect

QUESTION

In enforcement (theft/unauthorised-use) cases, must energy 'deemed' consumed under the Supply Code Regulations and Section 126 be treated as 'sales' for AT&C-loss computation, even where a Lok Adalat settlement reduces only the rupee amount recovered?

HOLDING

Yes. Where the statute and the DERC Supply Code Regulations create a legal fiction that assessed energy is 'deemed' consumed (e.g. under the LDHF formula), the fiction must be taken to its logical end: the assessed units must be treated as 'sales'. The DERC's method of back-calculating units from the reduced settlement amount is contrary to law; assessed energy is to be considered as supply, with the impact and carrying costs allowed. ¶ 73-80

PRINCIPLE TAGS

regulator-cannot-change-rules-at-truing-up A Regulator cannot, at the truing-up stage, change the methodology or principles of the initial tariff determination; doing so is an impermissible retrospective revision of a quasi-judicial tariff order. Lead authorities: *PTC India Ltd. v. CERC* [395434]. ¶ 51-55

legal-fiction-carried-to-logical-end When the Supply Code / Section 126 deems assessed energy to be consumed, the fiction must be given full effect and the assessed units treated as sales. ¶ 79-80

NOT DECIDED — NEGATIVE AUTHORITY

NOT DECIDED — REMAINING SUBSTANTIAL QUESTIONS ON ISSUES 1-3, 5 AND 6

TABLE OF AUTHORITIES

AUTHORITY	PROPOSITION	HOW TREATED	CITED BY	TREATMENT
<i>Sir Chunilal V. Mehta & Sons Ltd. v. Century Spg. & Mfg. Co. Ltd.</i> AIR 1962 SC 1314 Supreme Court (Constitution Bench)	Test for a 'substantial question of law': one of general public importance or directly and substantially affecting the parties' rights, not finally settled or free from difficulty.	Relied on to frame the s.125 substantial-question-of-law threshold. ¶ 29-30	Court	Relied on
<i>PTC India Ltd. v. Central Electricity Regulatory Commission</i> (2010) 4 SCC 603 [395434] Supreme Court (Constitution Bench)	Tariff fixation under Section 62 is quasi-judicial (and appealable under s.111), while Section 61 is the enabling provision for framing generic regulations.	Relied on for the quasi-judicial character of tariff determination. ¶ 48	Court	Relied on
<i>Gujarat Urja Vikas Nigam Ltd. v. Tarini Infrastructure Ltd.</i> (2016) 8 SCC 743 Supreme Court	Tariff incorporated in a power purchase agreement is not a pure act of volition alterable only by mutual consent.	Distinguished — held not applicable to the present (non-contractual, truing-up) facts. ¶ 54	Respondent	Distinguished
<i>State Load Despatch Centre v. GERC</i> 2015 SCC OnLine APTEL 50 Appellate Tribunal for Electricity	'Truing up' means the adjustment of actual amounts incurred against the estimated/projected amounts determined under the ARR.	Referred to define truing up. ¶ 52	Court	Referred
<i>North Delhi Power Ltd. (NDPL) v. DERC</i> 2007 ELR (APTEL) 193 Appellate Tribunal for Electricity	Restricting a utility's claim by disallowing reasonably anticipated expenditure and deferring it to the truing-up exercise is not prudence; truing up only fills the gap between actual and anticipated expenses.	Relied on and agreed with. ¶ 52-53	Court	Relied on